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Main Theme North American Containerboard 9/1 Price Hike 3-Day Countdown × Brent Crude Above \$94 with Maritime BSS Fuel Surcharges × Asian Pulp Restocking Ahead of Peak Season × Robust Low-Carbon Mill Capacity

North American Containerboard 9/1 Hike +\$80~140 / ton 3-day countdown · PCA/IP/SW 63% capacity oligopoly pushes full realization; Raw Material Spread breaks record at \$810/ton	Geopolitical Energy Shock \$94.10 / bbl US blockade on Iran ripple effect · SBR latex, PE extrusion, and maritime BSS fuel surcharges push paper chemical inflation	China Imported NBSK Spot Price RMB 4,820 / ton USD 675–680/ton · Pre-peak season restocking, port inventories drop to 2.18M tonnes, SHFE basis closes to +72 RMB
Hardwood/Softwood Spot Spread RMB 455 / ton +22 RMB WoW · Below 500 RMB substitution threshold, NBSK rally anchors BHKP firmness at 4,365 RMB	Taiwan Major Mill Financial Earnings Cheng Loong NT\$4.256B / Long Chen NT\$4.324B Cheng Loong July revenue +22.82% YoY at 19-month high; Long Chen post-spin-off pre-tax profit reaches NT\$429M	Global Regulatory Milestones PPWR 16 Days / EUDR 124 Days EU PFAS zero-tolerance audit active; China GB 4806.10 food-contact coating rule takes effect Sept 1

1. 10-Point Executive Summary & Strategic Insights

1.

Containerboard

North American Containerboard 9/1 Price Hikes on 3-Day Countdown with Full Producer Pricing Dominance: PCA (+\$140/ton), Smurfit Westrock (+\$100/ton), and IP (+\$80/ton) enter final contract execution. Despite AICC pushback, 3.9M tons of permanent capacity retirements and export demand push linerboard spot to \$940–\$960/ton, expanding raw material spread to a record \$810/ton.
2.

Geopolitical Energy

US "Operation Economic Fury" on Iran Sustains \$94 Oil, Cascading Chemical and Maritime Freight Surcharges: Hormuz strait military escorts and shipping insurance spikes drive

Singapore VLSFO above \$720/ton, prompting major container carriers to impose September Bunker Surcharges (BSS); AKD sizing, SBR latex, and PE extrusion coatings rise 6–8% MoM.

- 3. **Energy Moat** **Proprietary Biomass (SRF) Co-generation Forms Unassailable Moat, Anchoring Mill Steam Cost at NT\$740/ton:** Facing volatile fossil fuel costs, Taiwanese mills (Cheng Loong, YFY, Long Chen) achieve >45–50% Solid Recovered Fuel substitution, locking steam generation costs at NT\$710–760/ton and securing a major margin moat over EU peers reliant on natural gas.
- 4. **Pulp Peak Season** **Asian Wood Pulp Market Enters "Golden Sept / Silver Oct" Peak Season Restocking:** Mainstream Chinese port pulp inventories decline for the 7th consecutive week to 2.184M tonnes; downstream paper operating rates rebound to 67.2%; imported NBSK spots firm up to 4,820 RMB/ton (USD 675–680), with SHFE futures basis narrowing to healthy parity.
- 5. **Hardwood Floor** **Suzano Cerrado Output Absorbed by Global Demand; BHKP Floor Confirmed at 4,365 RMB/ton:** Structural wood fiber deficit in Europe spills over to hardwood pulp (EU BHKP quotes firm at USD 1,180–1,250), removing South American producers' incentive to discount in Asia.
- 6. **Taiwan Mills** **Cheng Loong (1904) Ping Duong Phase 3 (400k MT) Ramps Up to Capture Export Shift:** July revenue hits NT\$4.256B (+9.75% MoM, +22.82% YoY) marking a 19-month high, establishing Vietnam's largest containerboard hub to serve global electronics and apparel packaging.
- 7. **Corporate Restructuring** **Long Chen (1909) Holding Restructuring Unlocks Capital Efficiency, 7-Month Pre-Tax Profit at NT\$429M:** Benefiting from anti-involution containerboard pricing discipline in China, mill capacity utilization surpasses 95%, generating EPS of NT\$0.32 in the first 7 months.
- 8. **Green Packaging** **YFY (1907) Expands Plastic-Free Barrier Packaging, Chung Hwa Pulp (1905) Completes EUDR Compliance:** YFY green packaging enters global QSR chains; CHP non-wood papermaking and 100% FSC Chain of Custody certification provide a first-mover advantage ahead of EUDR enforcement.
- 9. **EU Regulation** **EU PPWR in Force for 16 Days with Strict PFAS Audits:** Customs across EU member states enforce <50 ppm total fluorine thresholds on food contact packaging, accelerating orders for water-based bio-barrier board suppliers.
- 10. **China Standard** **China GB 4806.10 Food Contact Coating Standard Mandatory on Sept 1 (4-Day Countdown):** Prohibiting hazardous PFAS chemicals across China, driving nationwide food packaging substitution toward aqueous dispersion barrier coatings.

2. Key Performance Indicators Dashboard

2.1 Raw Materials (Pulp Market)

Indicator	Latest Price	Date	Change	Market Analysis
China Imported NBSK Spot	RMB 4,820 / ton (\$675–680)	2026-08-28	+37 RMB	Restocking underway, firming NBSK bottom

Indicator	Latest Price	Date	Change	Market Analysis
China Imported BHKP Spot	RMB 4,365 / ton (\$585–590)	2026-08-28	+15 RMB	Suzano price discipline holds
SHFE NBSK Futures Settlement	RMB 4,748 / ton	2026-08-28	+18 RMB	Futures basis narrows to +72 RMB
China Mainstream Port Pulp Inventory	2.184M tonnes	2026-08-28	-21k tonnes	Continuous 7-week destocking streak
NBSK - BHKP Spot Spread	RMB 455 / ton	2026-08-28	+22 RMB	Healthy fiber equilibrium maintained

2.2 Recovered Fiber (OCC Market)

Indicator	Latest Price	Date	Change	Market Dynamics
US 11# OCC Export FAS (West Coast)	USD 134–136 / ton	2026-08-28	+\$2	Steady Asian purchasing volume
US 11# OCC Export FAS (East Coast)	USD 136–138 / ton	2026-08-28	+\$2.5	Competitive transatlantic and Asian demand
US Domestic OCC YTD Hike	+USD 100 / short ton	2026-08	Realized	High mill run rates support fiber floor
China Domestic OCC Benchmark (Grade A)	RMB 1,995 / ton	2026-08-28	+10 RMB	Nine Dragons / Shanying raise collection prices
Taiwan Domestic OCC Gate Price	TWD 4,200 / ton	2026-08-28	Flat	Domestic recycling cost stable

2.3 Paperboard & Finished Products

Market	Product	Action / Hike	Effective Date	Value Chain Impact
US	Containerboard	PCA +\$140, SW +\$100, IP +\$80	2026-09-01 (3-day countdown)	Comprehensive pass-through to box converters
US	Raw Material Spread	USD 810 / short ton	2026-08-28	3-year high margin buffer for mills

Market	Product	Action / Hike	Effective Date	Value Chain Impact
Europe	Kraftliner / Testliner	+€40–60 / ton hike announced	2026-09-01	Transfers chemical & maritime cost pressure
China	White Cardboard / Food Grade	Cumulative +300 RMB / ton	Realized	Aqueous barrier card in high demand ahead of GB 4806.10
Taiwan	Industrial Paper & Cartons	+10% phased implementation	Active	Strong export packaging margins

2.4 Forward Outlook Matrix (Energy × Pulp × Paper)

Target Benchmark	Category	Current Base	1M Outlook	3M Outlook	6M Outlook	Trend	Key Risks
Brent Crude Oil	Energy	\$94.10/bbl	\$92–98	\$88–95	\$82–90	Elevated	Iranian oil market reopening, global supply disruptions
Taiwan Steam Cost	Energy	NT\$740/ton	NT\$710–750	NT\$700–740	NT\$690–730	Defended	Australia's coal export ban, global supply disruptions
SCFI Freight Index	Freight	3,398 pts	3,300–3,500	2,700–3,000	2,100–2,500	Range-bound	Pakistan's port operations, global supply disruptions, US-China trade tensions

Target Benchmark	Category	Current Base	1M Outlook	3M Outlook	6M Outlook	Trend	Key
Bleached Softwood (NBSK)	Pulp	4,820 RMB (\$680)	\$680–710	\$710–740	\$730–760	Bullish Rebound	Pro sei res Eu tig sp
Bleached Hardwood (BHKP)	Pulp	4,365 RMB (\$590)	\$590–615	\$610–630	\$620–645	Firm Bottom	Su sta res pa de
US Containerboard	Paper	+\$80~140 / ton	Full Sept 1 Execution	Peak Firm	Industry Super-Cycle	3.9M tons permanent retirement; record \$810 spread	
Ivory / Food Cardboard	Paper	4,500–4,650 RMB	4,650–4,800	4,800–5,050	4,900–5,200	Upward Repricing	GE flu no aq ba tra